ORDINANCE NO. 1618

AN ORDINANCE OF THE CITY OF BANNING, CALIFORNIA, APPROVING AN AMENDMENT TO THE CITY OF BANNING OFFICIAL ZONING MAP AND APPROVING ZONE CHANGE 20-3502 REZONING CERTAIN TERRITORY IN THE CITY LOCATED SOUTH OF I-10 AND THE UNION PACIFIC RAILROAD, AND WEST OF SUNSET AVENUE (ASSESSOR'S PARCEL NUMBERS (APNS): 537-110-003 THROUGH -005, 537-110-011 THROUGH -014) AND PRE-ZONING PRIOR TO ANNEXATION CERTAIN TERRITORY IN THE SPHERE OF INFLUENCE OF THE CITY LOCATED SOUTH OF THE NORTHERN BOUNDARY OF WESTERN AVENUE AND WEST OF SUNSET AVENUE (APNS 537-120-013, 537-120-025, AND 537-120-028 THROUGH -036).

WHEREAS, the City of Banning, California, ("City") is a general law city and a municipal corporation of the State of California; and

WHEREAS, NP Banning Industrial, LLC, a Missouri Limited Liability Corporation ("Owner") is proposing to develop a master planned project including industrial and commercial uses and various public facilities, including parkland and open space, with on-and off-site related improvements ("Project") on approximately 533.8 acres of real property located within the City of Banning and the County of Riverside, with approximately 253.7 acres of this real property located in unincorporated County of Riverside and the City's southerly sphere of influence. The property is comprised of assessor's parcel numbers (APNs): 537-110-003 through -005, 537-110-011 through -014, 537-120-013, 537-120-025, and 537-120-028 through -036, and more specifically described on Exhibit A attached hereto and incorporated herein by this reference ("Project Site"); and

WHEREAS, the Project site is, or will be made, subject to the following entitlements: Resolution 2026-29, approving General Plan Amendment No. 20-2501 and Specific Plan No. 20-2002; this Ordinance approving Zone Change 20-3502; Ordinance No. 1620 approving a Development Agreement ("Development Agreement") between the City and Owner and Resolution No. 2026-31 approving Tentative Parcel Map No. 38118 to reconsolidate all existing parcels of the Property into 34 parcels and five lettered lots; and Resolution No. 2026-28, certifying an Environmental Impact Report (EIR), SCH Number 2021020011, Adopting Findings and a Statement of Overriding Considerations, and Adopting a Mitigation Monitoring and Reporting Program (collectively "Entitlements"); and

WHEREAS, the City has received from Owner a request to annex the portion of the Property located in the sphere of influence of the City and is adopting, or will adopt, Resolution 2026-30 approving a Plan of Service and such annexation and recommending approval of such annexation to LAFCO.

WHEREAS, concurrently with consideration of the Project, the City is considering General Plan Amendment (GPA) 22-2502, and Zone Change (ZC) 22-3502, to amend the existing land use designation on twelve parcels that are not a part of the Project Site of land from Public Facilities – School (PF-S) to Very High Density Residential (VHDR), and amending the Zoning District classification from Public Facilities – School (PF-S) to

Very High Density Residential (VHDR) (collectively, "MSJC Site Entitlements"), for 40.9 acres of a 49.2-acre site located at the southeast corner of Westward and Sunset Avenues (APNs: 537-140-004, 537-140-006 through -012, 537-150-001, 537-150-003 and -004, 537-150-008, and 537-140-001 through -003 (collectively the "MSJC Site") to ensure that approval of the Project will not result in a net loss of residential housing capacity; and

WHEREAS, in compliance with Government Code Section 65854, the City Planning Commission provided notice and held a duly noticed public hearing on the Project at a special meeting on September 25, 2025, further considered the Project at separately noticed continuation of such meeting on November 5, 2025 and at a continuation of that meeting to a special meeting on November 17, 2025, voted 3 in support and 2 opposed, passing a resolution recommending the City Council deny the Project applications. At the same special meeting, the Planning Commission voted 5 in support and none opposed, passing a resolution recommending the City Council deny the MSJC Site Entitlements; and

WHEREAS, the City prepared the Final EIR, including the Draft EIR (collectively, the "FEIR") and, pursuant to Public Resources Code section 21092.5, the City provided copies of the FEIR to all commenting agencies and persons requesting copies of the responses; and

WHEREAS, at the January 28, 2026, special meeting, the City Council of the City of Banning (the "City Council") held a public hearing, commenced deliberation and voted five in favor and none opposed to continue deliberation of the matter at a special meeting on February 26, 2026; and

WHEREAS, at the February 26, 2026, special meeting, the City Council voted unanimously 5-0 to continue the item to a regular meeting date of March 10, 2026; and

WHEREAS, the City Council has reviewed the staff report, Planning Commission recommendation, environmental documentation, proposed general plan amendment and zone change, Sunset Crossroads Specific Plan, development agreement, parcel map and supporting materials, and public testimony and has determined that approval of Zone Change 20-3502 is appropriate under Chapter 17.116 of the Banning Municipal Code and consistent with the policies and programs of the City of Banning General Plan, any applicable specific plan and zoning ordinances; and

WHEREAS, the Project reduces environmental impacts by incorporating the reduction in industrial uses generally as contemplated by Alternative 4, the Reduced Industrial Alternative, which was identified as the Environmentally Superior Alternative in the FEIR, including by (1) eliminating the extension of Lincoln Street over the Smith Creek drainage, buildout of Highland Home Road north of Sun Lakes Boulevard and the related fire road access and (2) eliminating Industrial buildings in Planning Areas 2, 3, 7, 8 and 9 and all cold-storage uses, thereby reducing overall Industrial square footage to a maximum of 4,749,000 square feet, which is an even greater reduction in square footage and elimination of more buildings than considered in Alternative 4. The Project also modifies and reduces impacts to the Commercial land uses by removing construction of the truck fueling operation, modifying the mix of commercial uses, and reducing the maximum commercial square footage to 223,753 square feet, including up to 200,000 square feet discount club use, plus an approximately 125 room hotel; and

WHEREAS, the City, as "Lead Agency" under the California Environmental Quality Act ("CEQA") and the CEQA Guidelines, concurrently with adoption of this Resolution pursuant to adoption of Resolution 2026-28, certified the FEIR as supplemented by the Supplemental CEQA Memorandum dated October 23, 2025 to address revisions to the Project and the Sunset Crossroads Project—Modified Project V2.1 Trip Generation Assessment dated February 20, 2026 to address further reductions in Project industrial square footage and related traffic impacts, each prepared by Urban Crossroads, Inc. (collectively "Supplemental CEQA Memoranda") and adopted Findings and Statement of Overriding Consideration and a Mitigation Monitoring and Reporting Program and determined that the FEIR as so supplemented sufficiently analyzes both the feasible Mitigation Measures necessary to avoid or substantially lessen the Project's potential environmental impacts and a range of feasible alternatives capable of eliminating or reducing these effects while feasibly attaining most of the basic objectives of the Project in accordance with CEQA and the State CEQA Guidelines, and has determined that the Zone Change has been fully analyzed per CEQA under the FEIR and all other legal prerequisites to the adoption of this Ordinance have occurred.

NOW, THEREFORE, THE CITY COUNCIL OF THE CITY OF BANNING DOES ORDAIN AS FOLLOWS:

SECTION 1. RECITALS
That the above Recitals are true and correct and are incorporated as though fully set forth herein.

SECTION 2. OFFICIAL ZONING MAP AMENDMENTS.
The City Council hereby approves ZC 20-3502, zoning land lying within the jurisdiction of the City and pre-zoning land in the City's sphere of influence, and directs the Community Development Director to amend the City of Banning Official Zoning Map, as depicted in Exhibit A to this Ordinance and incorporated by this reference, to amend the zoning classifications of the Real Property legally described on Exhibit B-1 and Exhibit B-2 to this Ordinance, each incorporated by this reference, from High Density Residential, Medium Density Residential, Low Density Residential, General Commercial and Open Space - Resource and Open Space – Parks, where applicable, to "Specific Plan - Sunset Crossroads" to provide General Commercial (GC), Industrial (I), Open Space – Parks (OS-P), and Open Space – Resources (OS-R) land uses pursuant to the Sunset Crossroads Specific Plan adopted pursuant to Resolution 2026-29 by the City Council and the following, in each case subject to termination of this approval as set forth in the Development Agreement if the First Installment of the Public Benefit Fee (each as defined in the Development Agreement) is not timely paid in accordance with the terms of Section 5.2.1 of said Development Agreement.

A. Zone Map Change. The portion of the Property legally described on Exhibit B-1, comprising APNS 537-110-003 through -005, 537-110-011 through -014 is within the jurisdiction of the City and is hereby zoned to "Specific Plan - Sunset Crossroads".

B. Pre-Zoning. The portion of the Property legally described on Exhibit B-2, comprising APNS 537-120-013, 537-120-025, and 537-120-028 through -036 is located in the sphere of influence of the City and is hereby pre-zoned to "Specific

Plan - Sunset Crossroads". This pre-zoning shall take effect upon execution of a Certificate of Completion by the Riverside County Local Agency Formation Commission for the annexation.

SECTION 3. FINDINGS FOR APPROVAL OF ZC 20-3502.
BMC Section 17.116.040 provides that upon receipt of the Planning Commission's recommendation, the City Council may approve, approve with modifications, or disapprove the proposed amendment based upon its findings. Amendments to the Zoning Ordinance shall be adopted by ordinance. Further, BMC Section 17.116.050 provides that an amendment to the Zoning Ordinance may be adopted only if the following findings are made. The City Council hereby finds and determines as follows:

A. FINDING No. 1: The proposed Amendment is consistent with the goals and policies of the General Plan.

Findings of Fact: The proposed ZC 20-3502 is consistent with the goals and policies of the General Plan. The proposed amendment will establish a land use pattern consistent with the corresponding general plan amendment 20-2501, allowing for General Commercial and Industrial districts while preserving natural on-site drainages and open spaces with Open Space designations to maintain an appropriate balance of land uses in the City and through adoption of a Specific Plan will regulate such uses to allow for the orderly development of the Property. The Project will assist with the development of a circulation system that serves the needs of the City (Circulation Element Policy 6) through dedication of land and widening of key roadways, provision of other infrastructure and payment of fair share of fees such that City streets are able to maintain peak hour LOS D or better with implementation of the Project and City and regional capital improvements. The proposed zoning will also create economic opportunities consistent with the goals and policies in the General Plan Economic Development Element, such as the following:

- Goal: A balanced, broadly-based economy that provides a full range of economic and employment opportunities, while maintaining high standards of development and environmental protection.
- Policy 2 The City shall take a proactive role in the retention of existing businesses and the recruitment of new businesses, particularly those that generate and broaden employment opportunities, increase discretionary incomes, and contribute to City General Fund revenues.
- Program 6.B Preserve highway commercial land use designations at interchange locations, and encourage the location of high quality freeway-serving businesses.

Further detailed findings of consistency between the Project and the General Plan are set forth in the FEIR and Resolution 2026-29 adopted by the City Council prior to or concurrently with adoption of this Ordinance, which findings and supporting evidence has been previously considered by the City Council in connection with the Project.

B. FINDING No. 2: The proposed Amendment is internally consistent with the Zoning Ordinance.

Findings of Fact: The proposed zone change is internally consistent with the Zoning Ordinance because the zone change will implement zoning map changes authorized by Banning Municipal Code Chapter 17.96, authorizing adoption of Specific Plans by the City Council including adoption of the Sunset Crossroads Specific Plan adopted concurrently with adoption of this Ordinance pursuant to Resolution 2026-29. The proposed Project shall require an amendment to Banning Municipal Code Section 17.96.080 - Specific plan zoning districts and zoning map designations. Inclusion of the Sunset Crossroads Specific Plan in the BMC will immediately make it consistent with the zoning ordinance. As required by state law and provided that the MSJC Site Entitlements are adopted by the City Council, the proposed Project involves a transfer of residential density from Sunset Crossroads development project site to the MSJC Site to accommodate the commercial/industrial development project. The transfer of residential development capacity is consistent with state housing law in that it ensures no net loss in the residential development capacity identified in the City's General Plan. The proposed density transfer can be accommodated on an approximately 41-acre site because the proposed density range is from 24 to 30 dwelling units per acre, consistent with the Zoning Ordinance and development standards for the Very High Density Residential zone and General Plan Housing Element goals and Programs 4 which require the City to create very high density zoning with a range of 24-30 du/acre.

C. FINDING No. 3: That the City Council has independently reviewed and considered the requirements of the California Environmental Quality Act.

Findings of Fact: The Sunset Crossroads FEIR has been prepared for the Project in accordance with the California Environmental Quality Act (Pub. Resources Code, § 21000 *et seq.*) (CEQA). The City Council has conducted an independent review and is concurrently certifying the Sunset Crossroads FEIR (SCH# 2021020011), including the DEIR and certain Supplemental CEQA Memoranda as compliant with CEQA and has adopted the related CEQA Findings, Statement of Overriding Consideration, and Mitigation Monitoring and Reporting Program for the Project pursuant to Resolution No. 2026-28 concurrently with or prior to adoption of this Ordinance.

SECTION 5. SEVERABILITY.

If any section, subsection, sentence, clause, or phrase of this Ordinance is for any reason held to be invalid or unconstitutional by a decision of any court of any competent jurisdiction, such decision shall not affect the validity of the remaining portions of this Ordinance. The City Council hereby declares that it would have passed this Ordinance, and each and every section, subsection, sentence, clause, or phrase not declared invalid or unconstitutional without regard to whether any portion of the Ordinance would be subsequently declared invalid or unconstitutional.

SECTION 6. CERTIFICATION.

The City Clerk is directed to certify the passage and adoption of this Ordinance; cause it to be entered into the City of Banning's book of original ordinances; make a note of the passage and adoption in the records of this meeting; and, within fifteen (15) days after the passage and adoption of this Ordinance, cause it to be published or posted in accordance with California law.

SECTION 7. EFFECTIVE DATE.
This Ordinance shall take affect thirty (30) days after its second reading by City Council. The City Clerk is directed to certify to the enactment of this Ordinance and to cause this Ordinance to be published and/or posted as required by law.

INTRODUCED AND READ for the first time and ordered posted at a special meeting of the City Council of the City of Banning, California, held on the 10th day of March 2026, by the following roll call vote:

AYES: Barrington, Miller, Royce, Wallace

NOES: Flynn

ABSENT:

ABSTAIN:

PASSED, APPROVED, AND ADOPTED at a regular meeting of the City Council of the City of Banning, California, held on the 14th day of April 2026, by the following roll call vote:

AYES: Barrington, Miller, Royce, Wallace

NOES: Flynn

ABSENT:

ABSTAIN:

Richard Royce, Mayor
City of Banning

ATTEST:

Sandra Calderon, Deputy City Clerk
City of Banning

APPROVED AS TO FORM:

John Pinkney, City Attorney
Slovak, Baron, Empey, Murphy & Pinkney, LLP

CERTIFICATION:

I, Sandra Calderon, Deputy City Clerk of the City of Banning, California, do hereby certify that Ordinance No. 1618 was duly introduced at a special meeting of the City Council of the City of Banning, held on the 10th day of March, 2026, and was duly adopted at a regular meeting of said City Council on the 14th day of April, 2026, by the following vote, to wit:

AYES: Barrington, Miller, Royce, Wallace

NOES: Flynn

ABSENT: None

ABSTAIN: None

Sandra Calderon

Sandra Calderon, Deputy City Clerk
City of Banning, California

EXHIBIT A
Existing General Plan/Zoning Map

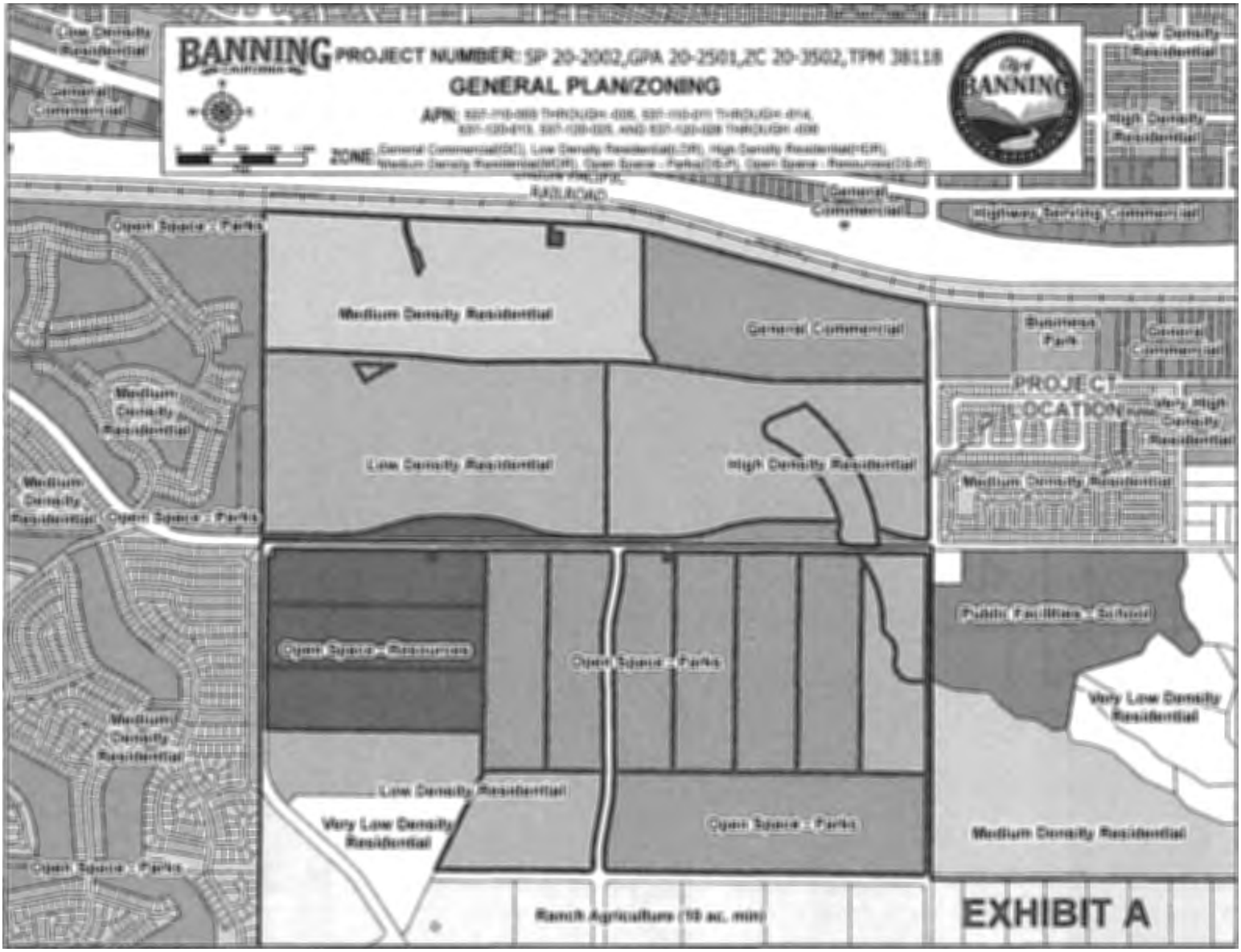

BANNING
PROJECT NUMBER: SP 20-2002,GPA 20-2501,ZC 20-3502,TPM 38118
GENERAL PLAN/ZONING
APN:
ZONE:
RAILROAD
Low Density Residential
General Commercial
Open Space - Parks
Medium Density Residential
Low Density Residential
High Density Residential
Business Park
PROJECT LOCATION
Very High Density Residential
Open Space - Resources
Public Facilities - School
Very Low Density Residential
Ranch Agriculture (10 ac. min)
EXHIBIT A

EXHIBIT B-1

Legal Description of APNS 537-110-003 through -005, 537-110-011 through -014

COMPRISING THE NORTHERN PORTION OF THE PROJECT SITE AND SLB EXTENSION IN THE CITY OF BANNING

PARCEL A:

PARCELS 1 THROUGH 4, INCLUSIVE OF MAPS AND LETTERED LOTS A THROUGH J, INCLUSIVE, OF PARCEL MAP NO. 25541, IN THE CITY OF BANNING, COUNTY OF RIVERSIDE, STATE OF CALIFORNIA, ON FILE IN BOOK 166 PAGES 27 THROUGH 35, INCLUSIVE, OF PARCEL MAPS, RECORDS OF RIVERSIDE COUNTY, CALIFORNIA

EXHIBIT B-2

Legal Description of APNS 537-120-013, 537-120-025, and 537-120-028 through -036

COMPRISING UNINCORPORATED SOUTHERN PORTION OF THE PROJECT SITE

PARCEL B:

PARCELS 1 THROUGH 9 AND LETTERED LOTS "A" THROUGH "O", ALL INCLUSIVE OF PARCEL MAP 28971, IN THE COUNTY OF RIVERSIDE, STATE OF CALIFORNIA, AS SHOWN BY MAP ON FILE IN BOOK 198 PAGES 8 THROUGH 10 INCLUSIVE, OF PARCEL MAPS, IN THE OFFICE OF THE COUNTY RECORDER OF SAID COUNTY.

EXCEPTING THEREFROM PARCELS 3 AND 7, THOSE PORTIONS CONVEYED TO THE CITY OF BANNING BY A DEED RECORDED JANUARY 15, 1998 AS INSTRUMENT NO. 015506 OFFICIAL RECORDS OF RIVERSIDE COUNTY, CALIFORNIA.

ALSO EXCEPTING THEREFROM PARCEL 3 ALL THAT PORTION CONVEYED TO THE CITY OF BANNING BY A DEED RECORDED MARCH 22, 2002 AS INSTRUMENT NO. 2002-146041.

PARCEL C:

PARCELS 1 AND 2 AND LETTERED LOTS A, B, AND C OF PARCEL MAP 13521, IN THE COUNTY OF RIVERSIDE, STATE OF CALIFORNIA, AS SHOWN BY MAP ON FILE IN BOOK 83, PAGES 13 THROUGH 15, INCLUSIVE OF PARCEL MAPS, IN THE OFFICE OF THE COUNTY RECORDER OF SAID COUNTY.

EXCEPTING THEREFROM THOSE PORTIONS CONVEYED TO THE CITY OF BANNING, A MUNICIPAL CORPORATION, BY DEED RECORDED JANUARY 15, 1998, AS INSTRUMENT NO. 98-015506, OFFICIAL RECORDS.